tentative ruling.

The Snyders are ordered to file and serve their complaint in intervention no later than fourteen (14) days from of entry of this order.

18. 1:30 PM CASE NUMBER: C26-00183
CASE NAME: AURA MANAGEMENT CO. VS. ERIC DOLL
***HEARING ON MOTION IN RE: STRIKE PORTIONS OF COMPLAINT**
FILED BY: DOLL, ERIC
<u>*TENTATIVE RULING:*</u>

See line 19, below.

19. 1:30 PM CASE NUMBER: C26-00183
CASE NAME: AURA MANAGEMENT CO. VS. ERIC DOLL
HEARING ON DEMURRER TO: COMPLAINT
FILED BY:
<u>*TENTATIVE RULING:*</u>

<u>Summary</u>

Defendants Eric Doll and Venbrook Group, LLC's Demurrer to the Complaint is **<u>overruled</u>**.

Defendants' Motion to Strike the prayer for injunctive relief in Paragraph 63 is **<u>granted</u>** with 20 days' leave to amend. In all other respects, the Motion to Strike is **<u>denied</u>**.

Plaintiffs shall prepare the order and file and serve notice of entry of order.

<u>Background</u>

Plaintiffs Vision of Success, Inc., Bay Area Gold Standard Management, Inc., and Aura Management Co. operate and manage "convenience-store-related" businesses in California (Compl. ¶ 12). Defendants are insurance broker Eric Doll and insurance brokerage firm Venbrook Group, LLC, Doll's employer. This dispute arises from Defendants' alleged marketing and placement of Plaintiffs into a purported "captive" workers' compensation insurance program that Defendants represented would reduce Plaintiffs' premiums and improve Plaintiffs' risk profile, but which Defendants allegedly procured using inaccurate payroll and exposure assumptions. Plaintiffs allege Defendants induced them to purchase the program and make related financial commitments by materially understating Plaintiffs' payroll and exposures and by withholding material information, including the true premium risk and Defendants' financial incentives and commissions.

Plaintiffs allege that after relying on Defendants' representations, Plaintiffs were assessed audit results and premium demands far in excess of what Defendants had quoted and represented, alongside additional program costs including required collateral and stock purchase commitments. Plaintiffs allege they suffered substantial damages, including unexpected premium liabilities, loss of cash due to collateral and stock purchases, costs and fees, lost opportunities, and related economic harm.

Plaintiffs filed this action against Defendants on January 20, 2026, asserting causes of action for intentional misrepresentation, concealment, negligent misrepresentation, professional negligence, breach of fiduciary duty and constructive fraud, and violations of Business and Professions Code section 17200, seeking compensatory damages, punitive damages, restitution and injunctive relief.

Defendants now demur to the Complaint, arguing that all causes of action are time-barred, that Plaintiffs have not sufficiently alleged delayed discovery, that Plaintiffs fail to allege sufficient facts to state fraud-based claims, and that the Complaint fails to state a UCL claim. Defendants also separately move to strike the prayers for punitive damages, restitution, and injunctive relief. Plaintiffs oppose both motions.

Meet and Confer

Before filing a demurrer or motion to strike, the parties must "meet and confer in person, by telephone, or by video conference." (Code Civ. Proc., § 430.41, subd. (a) & § 435.5, subd. (a).)

Defendants complied with the statutory meet-and-confer requirements. (See Declaration of Karen E. Adelman, ¶¶ 2-6.)

Standards on Demurrer

A demurrer tests the legal sufficiency of a pleading. (*McKell v. Washington Mutual, Inc*. (2006) 142 Cal. App. 4th 1457, 1469.) When reviewing a demurrer, the court "give[s] the complaint a reasonable interpretation, reading it as a whole and its parts in their context." (*Blank v. Kirwan* (1985) 39 Cal. 3d 311, 318.) The court "treats the demurrer as admitting all material facts properly pleaded. The court does not, however, assume the truth of contentions, deductions or conclusions of law." (*Durell v. Sharp Healthcare* (2010) 183 Cal. App. 4th 1350, 1358.) The court's analysis is limited to the complaint, exhibits attached to the complaint and incorporated by reference, and matters properly subject to judicial notice. (*Donabedian v. Mercury Ins. Co*. (2004) 116 Cal. App. 4th 968, 994.)

"A demurrer for uncertainty is disfavored and will be strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (*Chen v. Berenjian* (2019) 33 Cal.App.5th 811, 822.)

Uncertainty

Defendant's Special Demurrer on the grounds of uncertainty is overruled.

A special demurrer lies only when the pleading is so incomprehensible that the defendant cannot reasonably determine what issues must be admitted or denied. (*Khoury v. Maly's of Calif., Inc.* (1993) 14 Cal.App.4th 612, 616.) The complaint provides adequate notice to Defendants of the claims against them, and any remaining ambiguities can be resolved through discovery. (*Ibid*.)

Statute of Limitations and Delayed Discovery

Defendants argue all claims are time-barred because the alleged solicitation and policy placement occurred in 2021–2022, while Plaintiffs did not file suit until January 2026. Per Defendants' calculation, the two-year statute of limitations for professional negligence, negligent misrepresentation, and breach of fiduciary duty (Code Civ. Proc., § 339, subd. (1)) expired in 2023 or 2024; the three-year period for intentional misrepresentation and concealment (Code Civ. Proc., § 338, subd. (d)) expired in 2024 or 2025; and the four-year period for unfair competition (Bus. & Prof. Code, § 17208) expired before Plaintiff filed the complaint. Defendants also argue that Plaintiffs cannot rely on delayed discovery because they do not state the time and manner of discovery and essentially admit to prior notice of their claims by alleging that they did not know the "full scope" or "magnitude" of the misrepresentations until audit results in late 2024 or 2025. (MPA 9:11–15, citing Compl. ¶ 32.)

Resolution of a statute of limitations issue is normally a question of fact. (*Fox v. Ethicon Endo-Surgery, Inc*. (2005) 35 Cal.4th 797, 810.) To that end, "[a] demurrer based on a statute of limitations will not lie where the action may be, but is not necessarily, barred. In order for the bar of the statute of limitations to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows that the action may be barred." (*Guardian North Bay, Inc. v. Superior Court* (2001) 94 Cal.App.4th 963, 971–972.) A cause of action accrues "'when [it] is complete with all of its elements'—those elements being wrongdoing, harm, and causation." (*Pooshs v. Philip Morris USA, Inc.* (2011) 51 Cal.4th 788, 797.)

Here, no statute of limitations bar clearly and affirmatively appears on the face of the complaint. First, Defendants assert that Paragraph 25 shows Plaintiffs were aware of their claims outside the limitations period because they allege they received audit outcomes and premium assessments "after placement." However, Paragraph 25 contains no specific dates. Defendants conflate the alleged 2021–2022 solicitation period (Compl. ¶ 14) with the receipt of subsequent audit outcomes and premium assessments. (Compl. ¶ 25.) Because the complaint does not allege that the audits occurred outside the applicable statutory periods, no defect appears on the face of the complaint.

Second, while Defendants argue that Paragraph 32's reference to the "full scope" of the misrepresentations and the "magnitude of the variance" is an admission of earlier awareness of a claim against Venbrook, the complaint contains no allegation that Plaintiffs had prior knowledge or suspicion before they received audit determinations. Reading Paragraphs 31 and 32 together, Plaintiffs allege the misrepresentations were undiscoverable at placement and first came to light with the audit demands in late 2024 or 2025. On demurrer, the Court must accept as true not only the facts expressly alleged, but also those that may be reasonably inferred from the facts in the plaintiff's favor. (*Lazar v. Hertz Corp.* (1999) 69 Cal.App.4th 1494, 1501 (Lazar).) Accepting the assertion that Plaintiffs had earlier suspicions of wrongdoing would require drawing inferences against the pleader, which the Court cannot do on demurrer.

The demurrer on statute of limitations grounds is overruled.

Sufficiency of Fraud-Based Claims

Defendants challenge the first, second, third, and fifth causes of action for intentional misrepresentation, concealment, negligent misrepresentation, and constructive fraud. Specifically, Defendants argue that Plaintiffs fail to plead the claims with heightened particularity, rely on non-actionable opinions, fail to allege intent for concealment, and fail to adequately plead reliance.

Specificity and False Representation of Fact

The elements of intentional misrepresentation are: (1) misrepresentation (false representation, concealment, or nondisclosure); (2) knowledge of falsity; (3) intent to induce reliance; (4) justifiable reliance; and (5) resulting damage. (*Lazar, supra,* 12 Cal.4th at 638.) Where a corporate defendant is charged, the plaintiff must allege the names of the persons who made the representations, their authority to speak, to whom they spoke, what was said, and when. (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157.)

The Complaint satisfies this standard. Plaintiffs specifically identify Defendant Eric Doll, a Senior Vice President of Venbrook, who solicited Plaintiffs in 2021-2022 for an AIG-related captive program. (Compl. ¶¶ 7-8, 14-15.) For the misrepresentation, Plaintiffs allege Defendants provided a quote/illustration estimating payroll at $5,286,196 and a premium of $171,348, despite having access to Plaintiffs' true payroll records and data showing exposures closer to $7,000,000. (*Id*. ¶¶ 17-20, 26.) Plaintiffs further plead that Defendants knew these figures were inaccurate and used them to induce Plaintiffs into the captive program to generate broker commissions. (*Id*. ¶¶ 1, 21, 24, 35-37, 60.)

Opinion vs. Fact

Defendants' argument that these statements constitute non-actionable opinions or predictions about future audit assessments is unpersuasive. Plaintiffs do not allege speculative future forecasts; they allege affirmative misrepresentations of existing facts by using an artificially suppressed payroll figure despite possessing contrary historical data. (Compl. ¶¶ 16-20.) While predictions of future events are generally non-actionable, representations regarding existing, underlying data are actionable statements of fact.

Here, Paragraph 34 alleges that the existing payroll and exposure assumptions underlying the quote were accurate or well grounded, and Paragraphs 16 through 20 allege the quote was presented as the product of a promised analysis of then existing payroll, exposure, and loss information. (Compl. ¶¶ 16(a)-(b), 17-20, 34-35.) Whether the quote provided to Plaintiffs was grounded in the data then available is capable of verification.

Concealment and Negligent Misrepresentation (Second and Third Causes of Action)

Defendants argue the second cause of action fails because Plaintiffs plead only "unmet expectations" without demonstrating contemporaneous intent not to perform under promissory fraud principles. (MPA 14:10-15:15.) However, Plaintiffs do not base their claim on false promises of future performance, but on the suppression of existing material facts during the 2021-2022 solicitation and placement process. (Compl. ¶¶ 14-24, 40.) Specifically, Paragraph 41 identifies the concealed matters: (1) that the quote's payroll and exposure assumptions were understated and inconsistent with available data; (2) the true likelihood of a major audit-driven premium increase; (3) Defendants' commissions and other remuneration connected to program participation; and (4) material limitations, risks, or obstacles concerning return or redemption of collateral and stock. (*Id*. ¶ 41(a)–(d).)

Plaintiffs also adequately plead a duty to disclose. A duty to disclose may arise when a defendant has exclusive knowledge of material facts, actively conceals a material fact, or makes partial representations while suppressing other material facts in a transaction between the parties. (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336–337; *Warner Construction Corp. v. City of Los Angeles* (1970) 2 Cal.3d 285, 294.) Paragraph 42 alleges a duty to disclose because Defendants possessed superior knowledge, held themselves out as experts, and made partial representations that were misleading without full disclosure. (Compl. ¶ 42.)

For the third cause of action, allegations establishing intentional misrepresentation necessarily satisfy the lesser standard of negligent misrepresentation. Plaintiffs also allege Defendants lacked reasonable grounds for believing their representations were true given the information Plaintiffs provided and the underwriting/payroll information Defendants had access to. (Compl. ¶ 48.)

<u>Constructive Fraud and Breach of Fiduciary Duty (Fifth Cause of Action)</u>

Constructive fraud consists of any breach of duty by which one gains an advantage by misleading another to its prejudice, and does not require an intentional false promise or intent to deceive. (Civ. Code, § 1573; *Assilzadeh v. Cal. Fed. Bank* (2000) 82 Cal.App.4th 399, 415.)

Defendants argue the fifth cause of action fails to satisfy the heightened standard for constructive fraud because Paragraph 56 fails to identify when facts were concealed, which Defendants concealed facts from which Plaintiffs, what specific facts were concealed beyond "material information and conflicts," and how they were concealed. (MPA 18:1-1:17.) Defendants do not argue that no fiduciary relationship could arise on the facts.

The Court finds the fifth cause of action is sufficiently pled. Paragraph 56 incorporates all prior factual allegations of the complaint. (Compl. ¶ 54.) Those allegations identify Defendant Eric Doll, Senior Vice President of Venbrook, as the individual who directly solicited and advised Plaintiffs in 2021-2022, provided quotes using understated payroll baselines, and suppressed material facts regarding premium risks, audit assessments, and broker commissions. (*Id*. ¶¶ 7, 8 14-26, 41.) Plaintiffs do not need to identify which of their own personnel dealt with Defendants to state a claim.

<u>Actual and Justifiable Reliance</u>

Finally, Defendants argue that Plaintiffs fail to plead actual and justifiable reliance to support their fraud-based claims. This argument is unpersuasive.

Reliance on *Cadlo v. Owens-Illinois, Inc.* (2004) 125 Cal.App.4th 513, *Mirkin v. Wasserman* (1993) 5 Cal.4th 1082, and *Reeder v. Specialized Loan Servicing LLC* (2020) 52 Cal.App.5th 795 is misplaced. *Cadlo* and *Mirkin* involved third parties who never received or read the alleged misrepresentations, whereas here the complaint alleges direct communications between the parties (and Plaintiffs were not required to identify every internal employee who handled the paperwork to show the corporate entities received the representations). Nor is *Reeder* on point. Defendants cite *Reeder* to argue that reliance on predictions regarding future audit assessments or third-party insurers is unjustifiable as a matter of law. But *Reeder* involved the promise of a loan refinancing ten years in the future without any specified terms, which the court held was inherently unreasonable to rely on. Plaintiffs do not allege an open-ended promise of future performance, they allege reliance on specific figures provided by their broker for immediate placement into Defendants' insurance program.

The complaint describes the actions Plaintiffs took based on Defendants' representations by entering the Captive Program, binding coverage, paying initial premiums, posting $75,000 in collateral, and buying $36,000 in program stock. (Compl. ¶¶ 22-23.) Plaintiffs allege that had the true facts been known, they would not have entered the program or made these financial commitments. (*Id*. ¶¶ 37, 43.) Plaintiffs' allegations sufficiently establish reliance at the pleading stage, and whether Plaintiffs were justified in relying on Defendants' representations presents a question of fact.

Accordingly, the demurrer to the first, second, third, and fifth causes of action is overruled.

Sufficiency of the Unfair Competition Claim (Sixth Cause of Action)

The UCL prohibits "any unlawful, unfair or fraudulent business act or practice . . . ." (Bus. & Prof. Code, § 17200.) An unlawful business practice under section 17200 is "an act or practice, committed pursuant to business activity, that is at the same time forbidden by law." (*Progressive West Ins. Co. v. Superior Court* (2005) 135 Cal.App.4th 263, 287 [cleaned up].) Thus, "[b]y proscribing 'any unlawful' business practice, 'section 17200 "borrows" violations of other laws and treats them as unlawful practices' that the [UCL] makes independently actionable." (*Cel-Tech Communications, Inc. v. Los Angeles Cellular Tel. Co.* (1999) 20 Cal.4th 163, 180.)

Where a UCL claim is derivative of other substantive claims, the UCL claim "rises or falls" with the viability of the underlying causes of action. (*See People ex rel. Allstate Ins. Co. v. Discovery Radiology Physicians, P.C.* (2023) 94 Cal.App.5th 521, 548.) Because the Court finds that Plaintiffs have sufficiently stated their fraud-based claims, the derivative UCL claim is likewise supported.

Defendants also argue that the sixth cause of action fails as against Venbrook because Venbrook's liability is based entirely on the theory of respondeat superior and "an unfair practices claim cannot be based on vicarious liability, but must contain an element of the defendant's personal 'participation in the unlawful practices' and 'unbridled control' over the practices that are found to violate section 17200 or 17500." (See MPA, 20:12-17, citing *In re Firearm Cases* (2005) 126 Cal.App.4th 959.) Defendants cite to *Emery v. Visa Internat. Service Assn.* (2002) 95 Cal.App.4th 952 on reply for the same proposition.

In re Firearm Cases dealt with whether gun manufacturers could be held liable under the UCL for downstream criminal acts committed by third parties. As the court noted on summary judgment, plaintiffs failed to present any evidentiary link showing that the manufacturers' own lawful business practices caused the third parties' illegal conduct. (*Id*. at pp. 985, 991.) In *Emery*, the discussion involved whether a corporation (VISA) could be held liable for the acts of merchants with which it had no relationship and over which it had no control. (*Emery*, *supra*, 95 Cal.App.4th 952.) The *Emery* court also noted that the evidence showed that VISA was unaware of the acts of these merchants. Unsurprisingly, the court found no basis to hold VISA liable.

Given these differences, neither *In re Firearm Cases* nor *Emery* supports Defendants' position.

Moreover, in opposition, Plaintiffs argue the UCL claim is properly stated against Venbrook based on allegations that Doll acted within the scope of his agency as its Senior Vice President, and that Venbrook "authorized, ratified, and directly benefited from" the fraudulent placement through commissions and fees. (Compl. ¶¶ 7-8, 28-30.) Defendants cite no authority holding that a corporation avoids UCL liability when it authorizes, ratifies, and profits from the misconduct of a corporate officer.

Accordingly, the demurrer to the sixth cause of action is overruled.

Motion to Strike

Defendants' motion to strike is **granted in part** and **denied in part** as follows.

"The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading. (b) Strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court." (Code Civ. Proc., § 436.) "Immaterial" or "irrelevant" matters include allegations not essential to the claim, allegations neither pertinent to nor supported by an otherwise sufficient claim, or a demand for judgment requesting relief not supported by the allegations of the complaint. (*Id*. § 431.10, subds. (b)(1)-(3).)

Defendants move to strike: (1) the punitive damages allegations supporting the intentional tort claims; and (2) the requests for disgorgement and injunctive relief on the Fifth (breach of fiduciary duty/constructive fraud) and Sixth (UCL) causes of action.

Defendants argue the fraud claims cannot support punitive damages because they are insufficiently pled as asserted in the demurrer. However, since the Court has concluded that the fraud claims are sufficiently pled, the motion to strike punitive damages must be denied for the same reasons the demurrer is overruled. (See, e.g. *Johnson v. Ford Motor Co.* (2005) 35 Cal. 4th 1191.) Fraud is a cause of action which provides a basis for punitive damages. (Civil Code § 3294.)

As to disgorgement under the fifth cause of action for breach of fiduciary duty (Compl. ¶ 58), disgorgement of wrongful gains and profits is an authorized equitable remedy. (*Meister v. Mensinger* (2014) 230 Cal.App.4th 381, 396-399.) As for disgorgement as a remedy on the UCL claim, Plaintiff seeks disgorgement of sums that are restitutionary in nature, i.e., those that were "wrongfully obtained" from plaintiffs as the result of the UCL violation alleged in this case. (Compl. ¶¶ 29, 60, 62, 63.) Therefore, disgorgement is an appropriate remedy under section 17200. (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1144.) Thus, the motion is denied with respect to the prayer for disgorgement, though the Court limits the UCL prayer to restitutionary disgorgement only.

However, the request to strike the prayer for injunctive relief under the UCL is granted. As noted by the Court in *Davis v. Farmers Ins. Exchange* (2016) 245 Cal.App.4th 1302, "[i]n order to grant injunctive relief under the UCL, 'there must be a threat that the wrongful conduct will continue.'" (*Id*. at pp. 1326–1327.) "Injunctive relief will be denied if, at the time of the order of judgment, there is no reasonable probability that the past acts complained of will recur . . . ." (*Id*. at p. 1327.) Plaintiffs seek "injunctive relief prohibiting Defendants from engaging in the same or similar practices." (Compl. ¶ 63.) Because the complaint alleges completed transactions occurring in 2021–2022 without alleging facts demonstrating a threat of continuing or recurring wrongful conduct, the request for permanent injunctive relief is improper.

Accordingly, the motion to strike the prayer for injunctive relief in paragraph 63 is granted with 20 days' leave to amend. In all other respects, the motion is denied.

Order

Defendants Eric Doll and Venbrook Group, LLC's Demurrer to the Complaint is **overruled**.

Defendants' Motion to Strike the prayer for injunctive relief in Paragraph 63 is **granted** **with 20 days' leave to amend**. In all other respects, the Motion to Strike is **denied**.

20. 1:30 PM CASE NUMBER: C26-00192
CASE NAME: ATHENA PLASSAS VS. PLANNED PARENTHOOD SHASTA-DIABLO INC
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: PLANNED PARENTHOOD SHASTA-DIABLO INC
****TENTATIVE RULING:****

This is a purported class action arising out of an alleged data breach of national scope. There are several other actions pending around the country arising out of the same incident, some in federal court. The parties have stipulated to **continue** this demurrer, and the related motion to stay (Line 21), to November 4, 2026.

21. 1:30 PM CASE NUMBER: C26-00192
CASE NAME: ATHENA PLASSAS VS. PLANNED PARENTHOOD SHASTA-DIABLO INC
***HEARING ON MOTION IN RE: STAY PROCEEDINGS PENDING RULING ON DEMURRER**
FILED BY: PLANNED PARENTHOOD SHASTA-DIABLO INC
****TENTATIVE RULING:****

See Line 20.